

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

JIMEX USA, INC., *Claimant*

v.

PRESTIGE SHIPPING, INC., *Respondent*.

DOCKET NO. 2053(I)

Served: September 16, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

ORDER DENYING RESPONDENT’S PETITION FOR RECONSIDERATION¹

I. BACKGROUND

On March 18, 2026, Claimant filed a small claims complaint (“Claim”) with the Federal Maritime Commission (“Commission”), alleging that Respondent violated the Shipping Act and seeking reparations in the amount of \$43,658. On August 13, 2026, an Initial Decision was issued finding Respondent violated 46 U.S.C. § 41102(c) and awarding the full amount of reparations requested plus interest. On September 9, 2026, Respondent timely submitted Respondent Prestige Shipping Inc.’s Petition for Reconsideration (“Petition”) pursuant to 46 C.F.R. § 502.304(h). For the reasons set forth in this Order, Respondent’s Petition is denied.

Commission Rule 304 governs petitions for reconsideration. 46 C.F.R. § 502.304(h). The rule limits the grounds upon which such petitions may be filed and provides that the Commission shall summarily reject a petition unless it:

- (1) Specifies that there has been a change in material fact or in applicable law, which change has occurred after issuance of the decision or order;
- (2) identifies a substantive error in material fact contained in the decision or order; [or]
- (3) addresses a material matter in the Small Claims Officer's decision upon which the petitioner has not previously had the opportunity to comment.

¹ Pursuant to 46 C.F.R. § 502.304(g), the Initial Decision becomes final unless the Commission elects to review it within thirty (30) days of service. The filing of a petition for reconsideration shall act as a stay of the review period described in the Commission Rule 304(g). 46 C.F.R. § 502.304(h). Upon issuance of a decision or order on reconsideration by the Small Claims Officer, the review period prescribed in Commission Rule 304(g) will recommence. *Id.*

Petitions which merely elaborate upon or repeat arguments made prior to the decision or order will not be received.

46 C.F.R. § 502.304(h).

Respondent asserts that the Small Claims Officer (“SCO”) made errors of material fact: (1) in assessing whether Respondent’s conduct satisfied the normal, customary, and continuous element of 46 C.F.R. § 545.4(b); and (2) in calculating the reparations awarded to Claimant. The Petition does not assert that there has been a change in material fact or applicable law since issuance of the Initial Decision, or that Respondent lacked an opportunity to comment on a material matter addressed in the SCO’s decision.

II. DISCUSSION

A. Pattern or Practice

Respondent argues that the SCO erred in finding Respondent’s conduct constituted a pattern or practice as required under 46 C.F.R. § 545.4(b) because the evidence supports that only a single shipment was at issue.

As a preliminary matter, Respondent’s Petition characterizes the SCO’s alleged errors as errors of material fact. Rule 304(h), however, requires a petitioner to identify a substantive error in material fact contained in the Initial Decision. This distinction is significant because Respondent’s Petition does not assert that the Initial Decision contained an erroneous factual finding as to the number of shipments at issue. The Initial Decision expressly states in Finding of Fact (“FF”) 4 that the Claim involved only one shipment. FF 8 refers to another shipment involving a different customer, but the Initial Decision did not rely on that shipment in determining whether Respondent’s conduct satisfied the normal, customary, and continuous element.

Although framed as a challenge to the SCO’s factual findings, Respondent’s argument does not, in fact, assert that the SCO made a substantive error in material fact in the Initial Decision. Rather, Respondent contests the SCO’s application of the undisputed facts in determining what constitutes a practice within the meaning of section 41102(c). The Initial Decision did not conclude that Respondent engaged in a practice solely based on the number of shipments at issue. Instead, it considered Respondent’s conduct in the context of Respondent’s asserted understanding of its duties as an NVOCC in dealing with the broader shipping public. Respondent maintained in the underlying proceeding that an NVOCC merely arranges transportation and, because it does not take physical possession of the cargo, does not assume responsibility for it. Respondent continues to advance this same argument in its Petition. Thus, the thrust of Respondent’s argument is not that the Initial Decision contains erroneous factual findings regarding the number of shipments, but that the SCO erred in applying the law to the facts in determining that Respondent’s conduct constituted a practice under 46 C.F.R. § 545.4(b). Such disagreement does not identify a substantive error in material fact and, therefore, does not establish grounds for reconsideration under Commission Rule 304(h).

B. Award of Reparations

Turning to Respondent's second argument seeking reconsideration of the SCO's calculation of reparations, Respondent contends that the evidence does not demonstrate that Claimant suffered "actual injury" entitling it to reparations. Specifically, Respondent points to FF 26, which notes that Claimant's downstream customers threatened to sue unless Claimant refunded the value of the vehicles and transportation costs. Respondent does not argue that there was an error in this finding. Instead, Respondent raises a new defense in its Petition that the record does not contain proof that Claimant actually issued those refunds, therefore, awarding the purchase price and freight costs results in an impermissible double recovery. Respondent further asserts that the Claimant may eventually receive delivery of the cargo, rendering the award of damages a windfall.

As an initial matter, Respondent's argument does not satisfy the threshold requirements of Commission Rule 304(h). Respondent does not dispute the accuracy of FF 26, nor does it identify any mathematical error in the SCO's calculation of Claimant's documented acquisition and freight costs in FFs 3 and 7. Instead, Respondent seeks to advance a defensive offset theory based on existing evidence in the record and upon which Respondent previously had the opportunity to comment. This challenge does not identify a substantive error in material fact contained in the Initial Decision or otherwise establish a permissible ground for reconsideration under Commission Rule 304(h).

Moreover, even evaluating Respondent's argument on the merits, the record fully supports the reparations awarded. Under 46 U.S.C. § 41305(b), reparations are awarded for actual injury proximately caused by a violation of the Shipping Act. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (holding that actual damages must be established to a reasonable degree of certainty and require evidence sufficient to reasonably infer the actual loss sustained by the wrongdoing, although absolute precision is not required). Here, Claimant satisfied its burden by establishing direct costs to acquire the cargo, inland transportation, and freight services that Respondent failed to provide.

Respondent's contention regarding payments from Claimant's downstream customers is unpersuasive. First, Respondent has not demonstrated that payments Claimant received from its customers compensated Claimant for the same injury for which reparations were awarded. Those payments arose from Claimant's separate commercial transactions with customers. The mere existence of separate commercial transactions between Claimant and its customers does not establish that Claimant has already been compensated for Respondent's violation. Second, FF 26 establishes that Claimant remains subject to litigation arising from the non-delivery of cargo. Respondent has produced no evidence establishing that Claimant was legally released from this liability. Finally, Respondent's assertion that Claimant may eventually receive the cargo is speculative. At the time of the Initial Decision, the cargo had remained undelivered for nearly a year, Respondent could not identify its location or current status, and there was no evidence establishing that delivery would eventually occur. Respondent presents no proof of change in material facts in its Petition. Hypothetical future events do not negate or undermine the actual loss established in the record.

III. CONCLUSION

Accordingly, Respondent has not identified a permissible ground under Rule 304(h) for reconsideration of either the finding that Respondent violated 46 U.S.C. § 41102(c), or the reparations awarded for that violation. Moreover, even considering Respondent's arguments regarding actual injury, the record supports the Initial Decision's determination of Claimant's actual financial injury and the resulting reparations award.

For the reasons discussed above, it is hereby **ORDERED** that Respondent's Petition for Reconsideration is **DENIED**.

SO ORDERED

DEBRA L.

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Debra L. Tesh
Small Claims Officer